
Employer's Final Account — Valuation and Determination at Termination

Kestrel Flyover Interchange Project — Package KFI-2

Document Reference:	EFA-KFI2-001
Date:	15-Sep-2021
Contract No.:	KMDA/KFI2/CW/2019-04
From:	Engineer, Ashgrove Infrastructure Consultants
To:	Rennick Builders Ltd.
CC:	Kaldera Metropolitan Development Authority

Subject: Final Account and Determination — Sub-Clauses 15.3 and 15.4

We refer to Notice of Termination NOT-KFI2-001, Site Handover Record SHR-KFI2-001, Asset Inventory AIV-KFI2-001, and Contractor's Financial Claim CFC-KFI2-001. Having reviewed the particulars submitted, we determine the Final Account under Sub-Clauses 15.3 and 15.4 as follows.

- 1. TERMINATION VALIDITY AND PROCEDURE:** We confirm the Employer was entitled to terminate under Sub-Clause 15.2, on the grounds stated in NOT-KFI2-001: failure to remedy Notice to Correct NTC-KFI2-001 within the stated period (progress of 46% against the 55% required by 07-Jun-2021), and persistent failure to proceed with due diligence sustained over the preceding period. We confirm the procedure required by Particular Conditions Part C.2 was followed: NOT-KFI2-001 was given after NTC-KFI2-001's period expired, identified that notice and the manner of non-compliance, and gave seven days' notice of the termination date, consistent with Termination Certificate ETC-KFI2-001.
- 2. VALUATION OF WORK AND MATERIALS:** We do not accept CFC-KFI2-001's claimed valuation of KLD 17,200,000, which includes preliminaries and mobilisation cost components not measurable as work properly executed under the Bill of Quantities. Based on the Site Handover Record's measured progress (47% overall) applied at contract rates, adjusted for items measured but not yet certified, we determine the value of work properly executed at KLD 15,120,000, together with KLD 680,000 for Materials credited per Asset Inventory AIV-KFI2-001, a total of KLD 15,800,000 -- an increase over the amount previously certified, reflecting work executed but not yet included in a Statement at the date of termination.
- 3. DEMOBILISATION COSTS:** We reject the claimed KLD 320,000 demobilisation cost. Under Sub-Clause 15.4, a cost, loss or expense arising from or in connection with the Contractor's own default, including demobilisation following termination under Clause 15, is not a sum properly due to the Contractor.
- 4. UTILITY RELOCATION CREDIT:** We accept, consistent with Progress Assessment EPA-KFI2-001's own finding, that the Ramp C utility relocation delay (resolved 15-Feb-2021, approximately 9 weeks late) is a genuine factor, but limited to the Ramp C element alone; it does not excuse the shortfall recorded at superstructure or signage/finishing elements, which is the substantial basis for termination. We credit 5 days against the liquidated damages period on this account, per Liquidated Damages Assessment LDA-KFI2-001.
- 5. LIQUIDATED DAMAGES:** Per LDA-KFI2-001, liquidated damages of KLD 302,400 (14 days at KLD 21,600/day, after the 5-day utility credit) are recoverable and are credited to the Employer in this account.

6. NET BALANCE: Per Payment Statement PST-KFI2-011 and Retention Calculation RET-KFI2-001, the net balance due, and full release of retention, are determined as follows:

Item	Amount (KLD)
Value of work properly executed and Materials (para 2)	15,800,000
Less: amount already certified and paid to date (PST-KFI2-011)	(14,345,000)
Less: liquidated damages (para 5 / LDA-KFI2-001)	(302,400)
NET BALANCE DUE TO THE CONTRACTOR	1,152,600

7. RETENTION: Retention held to date (KLD 755,000, per RET-KFI2-001) is included within, and released in full as part of, the net balance determined above, the balance being due to the Contractor.

A Final Payment Certificate for KLD 1,152,600, due to the Contractor, will be issued for payment within the period stated in the Contract Data.

Signed: Engineer's Representative
Ashgrove Infrastructure Consultants